
SPAIN 2001

1. Overview of the system

Unemployed persons are covered by two successive benefits: a contributory unemployment insurance benefit for 4-to-24 months depending on contributions, then an assistance benefit for 3-to-30 months. (The most common duration is 18 months, and for persons over 52 the duration is the necessary to arrive to the age in which he / she starts having the contributory retirement pension.) There is also a last resort scheme called the *Ingreso Mínimo de Inserción*. Family benefits are income-related. The tax unit is the individual; nevertheless family units have the option of filing their tax returns on a joint basis. The **2001 AW level is ESP 2981521**.

2. Unemployment insurance

2.1 *Conditions for receipt*

Unemployment benefit can be paid to a registered unemployed person aged 16-65, who is available and actively seeking work, and who did not leave his/her previous job voluntarily.

2.1.1 *Employment conditions*

None.

2.1.2 *Contribution conditions*

A claimant must have contributed for a minimum of 360 days in the 6 years preceding the legal status of unemployment.

2.2 *Calculation of benefit amount*

2.2.1 *Calculation of gross benefit*

It is 70 per cent of reference earnings for a maximum period of 6 months, then 60 per cent of reference earnings for the remaining period of the benefits (see Section 2.4 for the duration of the benefit); reference earnings correspond to the average gross earnings over the last 6 months.

The benefit is limited by a maximum and a minimum that depend on the number of dependent children below **26**. Both are expressed as a percentage of SMI, the minimum interprofessional wage (*Salario Minimo Interprofesional*), **with an increment of 1/6 (proportional to bonus payment)**. For **2001**, SMI is **ESP 2.805 per day, that is ESP 1.009.680 yearly, including in both cases the proportional part of bonus payment**.

Family type	Minimum	Maximum
With no dependent children	75% of SMI(1)	170% of SMI(1)
With dependent children	100% of SMI(1)	195% (one child) /220% (two or more children) of SMI(1)

(1) With an increment of 1/6 (proportional to bonus payment)

2.2.2 *Income and earnings disregards*

It is not means-tested. Unemployment benefits are reduced in proportion to hours worked.

2.3 *Tax treatment of benefit*

Normally taxable. For a person on unemployment insurance, the total social security contributions amount to 65 per cent of 4.7 per cent of reference earnings, subject to lower and upper ceilings (see 10.3).

2.4 *Benefit duration*

The total duration increases with contribution record. There is no waiting period; the benefit is paid 7 days per week.

Contribution record (in months)	Duration of benefit (in months)
12-18	4
19-24	6
25-30	8
31-36	10
37-42	12
43-48	14
49-54	16
55-60	18
61-66	20
67-72	22
72+	24

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

No one.

2.5.2 *Older workers*

No one.

3. *Unemployment assistance*

3.1 *Conditions for receipt*

With dependants:

- those 16-65 year olds who have exhausted their entitlement to contributory benefit;
- those with no entitlement to contributory benefit, but who paid contributions for 3 months.

Without dependants:

- those older than 45 who have exhausted their entitlement to contributory benefit for at least 6 months;
- those with no entitlement to contributory benefit, but who paid contributions for 6 months.

3.2 *Calculation of benefit amount*

3.2.1 *Calculation of gross benefit*

It is 75 per cent of the interprofessional minimum wage (*Salario Minimo Interprofesional - SMI*) **excluding the proportional part of bonus payments. The SMI in 2001 was 2 404 ESP per day, that is ESP 865.440 per year.**

3.2.2 *Income and earnings disregards*

It is means-tested. The condition to receive the benefit is that there are no individual earnings in the family over 75% of the interprofessional minimum wage. There are no disregards.

3.3 Tax treatment of benefit

Taxable, but not subject to social security contributions. Recipients for whom UA is the sole income source do not pay tax.

3.4 Benefit duration

The duration is six months, which may be extended for a further two periods of the same duration, up to a maximum of 18 months. For persons over 52, this benefit continues as long as is necessary, until the claimant either re-enters the workforce or reaches statutory retirement age, at which point he / she is eligible for the contributory retirement pension.

3.5 Treatment of particular groups

3.5.1 Young persons

None.

3.5.2 Older workers

Those older than 45 who have exhausted their entitlement to contributory benefit for at least 24 months (long-term unemployed) can receive from 75 per cent to 125 per cent of SMI, depending upon their family circumstances (i.e. children, etc.).

- With one relative to support or none at all: 75 per cent of SMI
- With two relatives to support: 100 per cent of SMI
- With three or more relatives to support : 125 per cent of SMI.

The duration of this benefit is 6 months. Workers aged 52 or over, having exhausted their UI benefits, may be entitled to prolonged unemployment benefits at a flat rate of 75 per cent of the minimum wage. This benefit lasts until they reach retirement age.

3.5.3

Active jobseeker's back -to-work allowance .The objective of this programme is to help long-term unemployed claimants over 45 who are in situations of need, to get back to work. In order to claim this benefit, unemployed claimants must have reached the age of 45, have used up their right to Unemployment Benefit and/or to Unemployment Assistance, have been registered at the Employment Office for at least 12 months (or for 24 months or more if they are not entitled to unemployment benefits), they must be in receipt of no income amounting to more than 75% of SMI, excluding the proportional part of bonus payments. The allowance is the equivalent of 75% of SMI and the duration is for a maximum of 10 months.

4. Social assistance

There is a minimum income scheme called the *Ingreso Mínimo de Inserción* (or *Renta Mínima*) implemented in the 17 Autonomous Communities/regions. There is no specific national legislation defining it, but the general principle is to alleviate poverty by means of cash benefits for basic living needs. The region of Aragón is considered below as being representative.

4.1 Conditions for receipt

The claimant must be available and actively seeking work. The minimum age is 18 or less if the claimant has dependants (although it can be 25 in certain regions), and the maximum age is 64 (old-age pension from 65). Qualifying households must pass an income test.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

Number of members in the family	Rate In ESP per month
1	45 000
2	58 500
3	67 500
4	76 500

4.2.2 Income and earnings disregards

It is means-tested on a one-to-one basis, using gross family income excluding family benefits. There are no disregards.

4.3 Tax treatment of benefit

Taxable, but the tax system is structured such that a year-long recipient will pay no tax.

4.4 Benefit duration

It lasts as long as the conditions are fulfilled.

4.5 *Treatment of particular groups*

4.5.1 *Young persons*

None.

4.5.2 *Older workers*

None.

5. *Housing benefits*

Some regions (including Aragón) apply housing benefit schemes. A tax credit for housing expenses does exist (see Section 10.1.1) at a national level.

6. *Family benefits*

6.1 *Conditions for receipt*

To have dependent children aged less than 18 years or older in case of disabled children. Benefits for non-disabled children under 18 years of age are income related.

6.2 *Calculation of benefit amount*

6.2.1 *Calculation of gross benefit*

In 2001 the benefit amount is calculated as follows:

Children under 18 years

A) non-disabled: ESP 48 420 per year

B) disabled to a degree of 33% or more: ESP 96 780 per year.

- Children over 18 years
 - A) disabled to a degree of 65% or more: ESP 487 980 per year.
 - B) disabled to a degree of 75% or more and needing another person's help: ESP 732 000 per year.

Families with disabled children are entitled to the entire benefit amount (not means tested).

In case of non-disabled children, families are entitled to:

- The entire amount, when gross family income does not exceeds ESP 1 288 653, increased with 15% for every dependent child from the second.
- A reduced amount, when gross family income exceeds the above amount, but is lower to the result obtained from adding the benefit amount to the above amount.

Following table allows us to establish the lower and upper ceilings depending on the number of dependent children

Number of dependent children	Lower ceiling	Upper ceiling
	ESP	ESP
1	1 288 653	1 337 073
2	1 481 951	1 578 791
3	1 675 249	1 820 509
4	1 868 547	2 062 227

The benefit amount is obtained by dividing the difference between one of the above upper ceilings and gross family income by the number of dependent children, rounded to the upper multiple of thousand. In any case, the difference between both the above ceilings must be equal or superior to ESP 4 035 per child/year .

6.2.2 *Income and earnings disregards*

In case of non-disable children, benefits are means-tested on a one-to-one basis on gross family income exceeding in 2001 ESP 1 288.653 per year (increased with 15% for every dependent child from the second.

6.3 *Tax treatment of benefit*

Not Taxable.

6.4 *Treatment of particular groups*

None.

7. **Childcare benefits**

None.

8. Employment-conditional benefits

None.

9. Lone-parent benefits

None.

10. Tax system

10.1. Central government income tax

10.1.1. Tax unit

As a general rule, the tax unit is the individual. Nevertheless, families have the options of being taxed:

- As married couples filing jointly on the combined income of both spouses and dependants.
- As heads of households (only unmarried or separated individuals with dependants).

10.1.2. Tax allowances and tax credits

10.1.2.1. Standard reliefs

Basic reliefs: A personal allowance of ESP 550 000 is granted for each individual. For married couples filing jointly the allowance amounts to ESP 1 100 000. This figure is ESP 900 000 for heads of households.

Dependent children: ESP 200 000 per child for the first two dependent children under 25 years. For subsequent children (3rd and 4th) the allowance is ESP 300 000. Above figures are topped up with ESP 25 000 for every dependent child, to cover part of the costs of education, for those between 3 and 16 years of age.

Relief for social security contributions: All these payments are fully deductible.

Work related expenses: Net work income (gross income less employee social security contributions) may be reduced according to the following rules:

- Taxpayers with net income equal or less than ESP 1 350 000: ESP 500 000
- For those with a net income between ESP 1 350 001 and 2 000 000: ESP 500 000 less the result of multiplying by 0.1923 the difference between net income and ESP 1 350 001.

- Taxpayers with net income over ESP 2 000 000 or other than employment income over ESP 1 000 000: ESP 375 000.

As a result of the application of the above rules, net income can not become negative.

Other: No standard relief available.

10.1.2.2. Main non-standard reliefs applicable to an AW

Contributions to approved Mutual or Superannuation Funds: Contributions made by each member of the household, may reduce its taxable income up to a maximum limit of:

- a) 20 per cent of total yearly net employment income,
- b) ESP 1 200 000 yearly.

Relief for subscriptions paid in respect of membership of a trade union and business or professional associations (last item is limited to mandatory membership) up to ESP 50 000.

Relief for expenses made for the legal defence of the taxpayer, directly related to a conflict with his employer up to a maximum limit of ESP 50 000 per year.

Other non-standard reliefs provided as deductions are:

Investment in the acquisition and rehabilitation of own-housing:

- As a general rule, 15 per cent of the year investment made during the year with a maximum limit of ESP 1 500 000.
- By using external funds (e.g. loans, mortgage): The first two years after the acquisition or rehabilitation: 25 per cent of the first ESP 750 000 and 15 per cent of the rest, with a maximum of ESP 1 500 000. In subsequent years: 20 per cent and 15 per cent, respectively.

Gifts: 10 per cent of the amounts donated to foundations and associations declared of public benefit. 20 per cent if these amounts are donated to some special legally approved foundations and associations.

Investments and expenses in goods of cultural interest: 15 per cent of the amounts granted to the acquisition, restoration, exhibition, etc. of certain goods listed in the General Registrar of Goods of Cultural Interest.

The last two amounts shall not exceed 10 per cent of taxable income.

10.1.3. Tax schedule

General rates of tax - resident individuals

Taxable income	Tax at the lower limit	Tax rate on taxable income
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(ESP)	(ESP)	in excess of the lower limit (%)
0 – 612 000	0	15.00
612 000 – 2 142 000	91 800	20.17
2 142 000 – 4 182 000	400 401	23.57
4 182 000 – 6 732 000	881 229	31.48
6 732 000 – 11 220 000	1 683 969	38.07
Over 11 220 000	3 392 551	39.60

10.2 State and local income taxes

Regional rates of tax - resident individuals

Taxable income (ESP)	Tax at the lower limit (ESP)	Tax rate on taxable income in excess of the lower limit (%)
0 – 612 000	0	3.00
612 000 – 2 142 000	18 360	3.83
2 142 000 – 4 182 000	76 959	4.73
4 182 000 – 6 732 000	173 451	5.72
6 732 000 – 11 220 000	319 311	6.93
Over 11 220 000	630 329	8.40

10.3 Social security contribution schedule

Contributions differ according to the labour market situation. For a worker, there are three main contributions, amounting to 6.4 per cent of gross employment income, limited by a lower ceiling of **ESP 1.009.800** and an upper ceiling of **ESP 4 752 720**:

- 4.7 per cent for pensions/sickness and invalidity;
- 1.55 per cent for unemployment;
- 0.1 per cent for training.

For a person on unemployment insurance, the total social security contributions amount to 6.5 per cent of 4.7 per cent of reference earnings, with the same lower and upper ceilings. The rest of SS contributions for pensions and sickness (up to 28.3% of reference earnings) are paid by *L'Institut National pour l'Emploi* (INEM). For a person on unemployment assistance, contributions are paid by (INEM). Contributions are neither payable over family benefits, nor over social assistance.

11. Part-time work

11.1 *Special benefit rules for part-time work*

Persons working less than 12 hours/week or 48 hours/month, are contribute and are therefore covered for unemployment insurance.

12. *Policy developments*

12.1 *Policy changes introduced in the last year*

12.2 *Policy changes announced*

A Personal Income Tax reform is announced for 2003, mainly addressed to lower the tax burden of the families with children.